



YD DEAL DESK

MONTHLY TRANSACTION AND FINANCE INTELLIGENCE

Middle East Transaction Landscape and Private Capital Market Update

The Gulf has quietly become the marginal funder of global dealmaking

MENA · GCC · GLOBAL PRIVATE CAPITAL · JULY 2026

YD ADVISORY · TRANSACTION AND STRATEGIC ADVISORY · DUBAI AND SINGAPORE

ABOUT YD ADVISORY

Senior-Led Transaction and Strategic Advisory

Institutional-grade thinking, without the institutional overhead.

YD Advisory is a boutique transaction and strategic advisory firm built for the moments where the stakes are real and generic consulting is not enough. We sit alongside founders and chief executives at the sharpest points in their business, capital raises, acquisitions, valuations and financial restructuring, and we stay until the job is done.

The YD Deal Desk is our monthly read of private capital markets across the Middle East and globally, built from the most credible sources and current data, and written for founders, boards and investors who need the signal, not the noise.

WHAT WE DO

- **Fractional and interim CFO**
Cashflow, reporting, controls and board support.
- **Capital raising and debt advisory**
Investor and lender materials, structuring and process.
- **Valuation and financial modelling**
DCF, comparables and transaction models.
- **M&A and transaction support**
Buy-side and sell-side, diligence and negotiation.

50+

Mandates delivered

USD 100M+

Capital advised

15+

Sectors

10+

Geographies

In This Edition

Global private markets and the Middle East, read from the data and drawn as our own.

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ABOUT THIS EDITION

Built primarily on Lincoln International's private-market data, set against PwC on regional M&A and Bain on global private equity. Lincoln's proprietary dataset figures are as reported by Lincoln; third-party market data is verified to August 2026.

VERIFIED TO

July 2026

Every figure attributed on the page.

Holding Course in the Crosswinds

A market that turned more disciplined, and a region that kept funding the world.

FROM THE DESK

“The interesting number this quarter is not how much deal value happened inside the Middle East. It is how much of global dealmaking now runs on Gulf capital. Even as our own market slowed through the summer, sovereign money from the region kept underwriting the largest deals in the world.”

Yashaswi Das

Founder and Chief Executive Officer, YD Advisory · Dubai and Singapore

The first half of 2026 tested the region. A conflict from late February closed the Strait of Hormuz, pushed oil sharply higher and led the IMF to cut its growth forecast. Deal activity moderated, and several listings were deferred. Yet the market did not lose direction. Capital turned selective, valuations were reassessed, and buyers moved toward assets with clear strategic value.

Underneath that, a bigger shift kept running. Global private equity is short of cash to return to investors, and the largest deals in the world increasingly rely on Gulf sovereign capital to close. That is the thread we follow through this edition.

USD 5.6tn

State-backed capital across MENA sovereign funds

USD 40bn

Aligned Data Centers, closed with Abu Dhabi's MGX

0.7 percent

IMF 2026 MENA growth forecast after the shock

SECTION 1

**Global Private Market
and Valuation Analysis**

01

SECTION 01

A read of global private markets, valuations and performance

From Pause to Selectivity

Deal activity is reopening, but capital is concentrating behind scale and quality.

MARKET OUTLOOK

“Global private markets are turning selective. Deal value is reopening, but the capital is concentrating behind scaled, higher-quality businesses. And more of the equity behind the largest deals now starts in the Gulf.”

YD Advisory · Global market view, July 2026

- **Premium assets command capital**
Higher-quality buyout demand held firm, with multiples near 12.6x EBITDA and leverage around 5.2x, even through the volatility.
- **Revenue is reaccelerating**
Most portfolio companies still grow, with early signs of reacceleration as they adapt to uncertainty and AI-led productivity.
- **Software: from premium to moat audit**
Investors no longer pay a blanket premium for software; capital favours mission-critical, workflow-embedded platforms.
- **Twelve is the new five**
With dearer debt and flat multiples, deals now need 10 to 12 percent EBITDA growth, and more equity, to work.

USD 2.5tn+

Global private-equity dry powder, largely unspent

Fewer, larger

H1 2026 saw fewer deals, aggregate value up around 10 percent

1,504

Global exits in H1 2026, down 6 percent

Multi-decade low

Distributions back to investors, the core constraint

The Private Company Dataset, in Composition

Around 7,100 global portfolio companies, mostly private and sponsor-owned.

7,100+

Global operating company valuations in the dataset

USD 59.4m

Median company size, LTM adjusted EBITDA

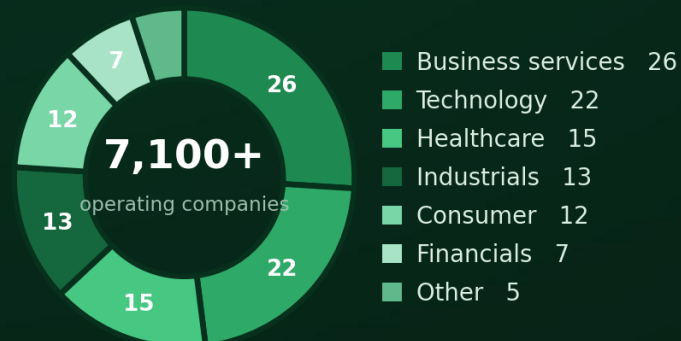
11.8x

Average enterprise value to LTM EBITDA

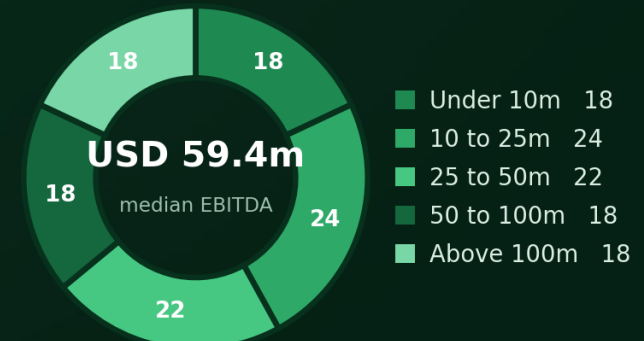
5.2x

Average debt to LTM EBITDA

By industry (share, percent)



By EBITDA size (share, percent)



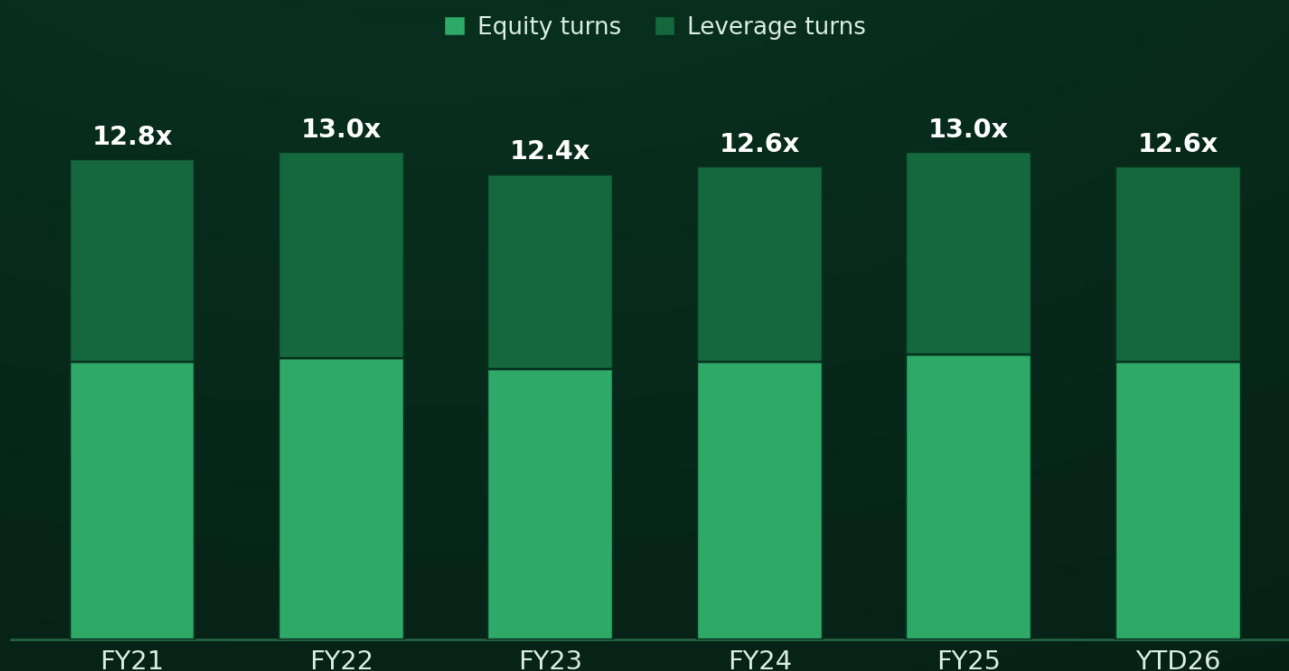
Ownership 98.4 percent private, 1.6 percent public

THE READ This is a deep, private, mid-market universe: a median company near USD 59.4 million of EBITDA and 98 percent sponsor-held, so the multiples and growth on the pages that follow describe the assets investors are actually competing for, not listed-market proxies.

A Flight to Quality Holds Multiples Firm

Buyout multiples stayed near record levels through the volatility, with leverage steady.

EV / EBITDA transaction multiples, platform buyouts (equity and leverage turns)



12.6x

EV / EBITDA, YTD 2026

5.2x

Debt / EBITDA, YTD 2026

13.0x

FY2025 peak multiple

58 percent

Equity share of enterprise value

THE READ With multiples near 12.6x and leverage held around 5.2x, buyers are underwriting quality, not cheap debt. For owners of scaled, clean-earnings assets the exit window is open; for buyers, returns now have to be earned through growth rather than financial engineering.

Scale Continues to Shape Buyout Activity

Capital keeps moving to larger, higher-quality businesses, and pays up across sectors.

Buyouts by LTM EBITDA size, share of deals (percent)



Average EV / EBITDA by industry, 2023 to 2025

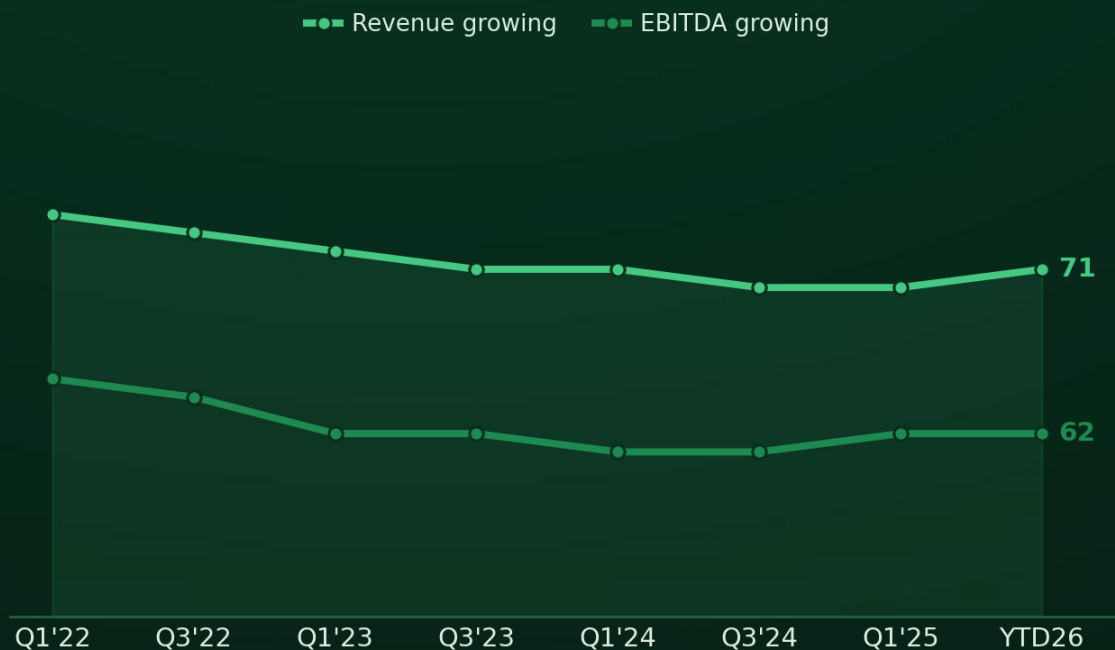


THE READ Scale is the dividing line. As targets above USD 50 million of EBITDA move toward half of activity, the valuation gap between platform-quality assets and the long tail is widening, which pressures mid-market owners to build scale, or accept a discount, before going to market.

Healthy Fundamentals, a Harder Return

Most companies still grow, but the maths behind a deal now demands far more of that growth.

Companies reporting year-on-year LTM growth (percent)



TWELVE IS THE NEW FIVE

A decade ago a buyout needed around 5 percent annual EBITDA growth to hit its return. Today it needs closer to 10 to 12 percent, because cheap debt and rising multiples no longer do the work.

USD 904bn

Global buyout value, up 44 percent

14 percent

Distributions to value, a multi-decade low

USD 3.8tn

Unrealised value in 32,000 unsold companies

USD 1.3tn

Buyout dry powder waiting, and ageing



THE READ The assets are healthy; the returns maths is not. Around seven in ten companies still grow, but at today's entry prices a deal needs 10 to 12 percent EBITDA growth to clear a return, so operational value creation and larger equity cheques, increasingly sovereign, now do the work multiple expansion once did.

SECTION 2
Middle East
Transaction Landscape

02

SECTION 02

The MENA private capital market, and where its capital flows

MENA Deal Landscape: Key Trends

Six forces shaping the region's private capital market in 2026.



Sovereigns became market makers

Gulf funds moved from taking stakes to anchoring the equity on the world's largest control deals.



Rotation is capability led

Value concentrated in finance, energy, digital infrastructure and industrial capability.



Global capital turned scarce

Distributions to investors sat below 15 percent of value for four years, a multi-decade low.



The GCC anchors, MENA is multi-speed

UAE and Saudi clear the largest tickets; Israel drives technology deal volume.



Debt became a real channel

Sukuk and bonds funded USD 84.1 billion, around 34 percent of 2025 regional value.



Governance matters as much as price

Partner alignment, control rights and a credible exit now sit alongside valuation.

USD 247.7bn

FY2025 MENA deal value, all capital types

2,416

Transactions across the region in 2025

96 percent

GCC share of MENA M&A value, 2023 to 2025

USD 17.9bn

PE and VC exits in 2025, up 36 percent

Why MENA Private Capital Is Different

A sovereign-led, partnership-heavy market that runs on its own playbook.

● Sovereigns anchor allocation

Capital formation is anchored by sovereign wealth funds and national strategy. Deal rationale includes localisation, sector build-out and strategic control, not only financial return. The largest tickets clear because a sovereign will underwrite them.

● Rapidly expanding debt markets

With sukuk and conventional debt at USD 84.1 billion, around 34 percent of 2025 value, buyers use deeper credit to finance acquisitions, refinance platforms and hold liquidity as rate and market windows shift.

● A diverse, multi-speed region

The UAE is the value magnet, Saudi Arabia is scaling transformation through state issuance, Israel generates unicorns, and Türkiye and Egypt offer selective public-debt and real-asset opportunities.

● Partnership-led, not control-led

Deals are structured around family groups, state-owned enterprises, government-related entities and regulators, so partner alignment, governance rights and exit optionality often matter as much as entry valuation.

● **THE READ** MENA rewards a different playbook. With sovereigns and family groups across most large deals, governance rights, partner selection and a pre-agreed exit route can matter as much as entry price, and misreading that is where international capital most often stumbles.

The Gulf Is Now the Marginal Funder of Global Deals

The domestic slowdown and the outbound surge are two sides of one story.

1

Global private equity is short of cash

Distributions at a multi-decade low; around USD 3.8 trillion of unsold companies.

2

An equity gap opens on the biggest deals

Buyout funds cannot supply the equity the largest transactions now need.

3

Gulf sovereign capital fills it

Funds anchor control deals in compute, power and infrastructure worldwide.

The region has moved from buying assets to underwriting the market. That held even as its own deal market cooled through the H1 2026 conflict, because the domestic pause and the outbound push come from the same source: deep, patient, state-backed capital seeking strategic returns when the rest of the market is constrained.

The question is no longer how much deal value happens inside MENA. It is how much of global dealmaking now depends on capital that starts in the Gulf.

More than USD 2.5 trillion of private-equity dry powder sits largely unspent while exits slow, so external equity, increasingly Gulf equity, is doing more of the work.

PIF ADIA MUBADALA QIA ADQ

THE POOLS BEHIND THE THESIS, ASSETS UNDER MANAGEMENT

Around USD 5tn

GCC sovereign wealth, heading toward USD 7tn by 2030

USD 1.15tn

Saudi PIF, targeting USD 2tn by 2030

USD 1.11tn

Abu Dhabi ADIA, among the largest funds globally

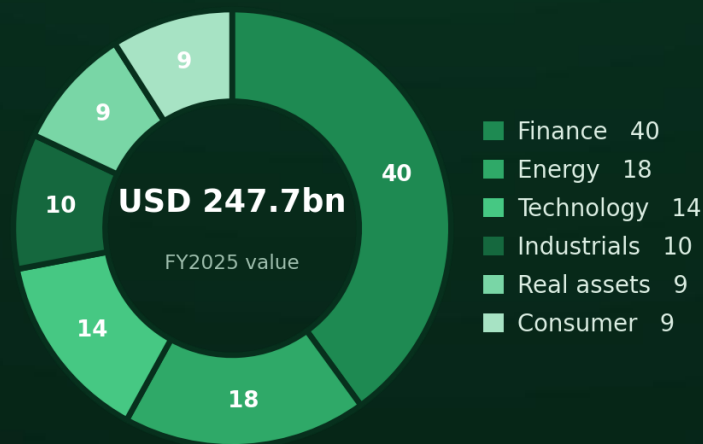
USD 385bn

Mubadala, most active deployer in H1 2026

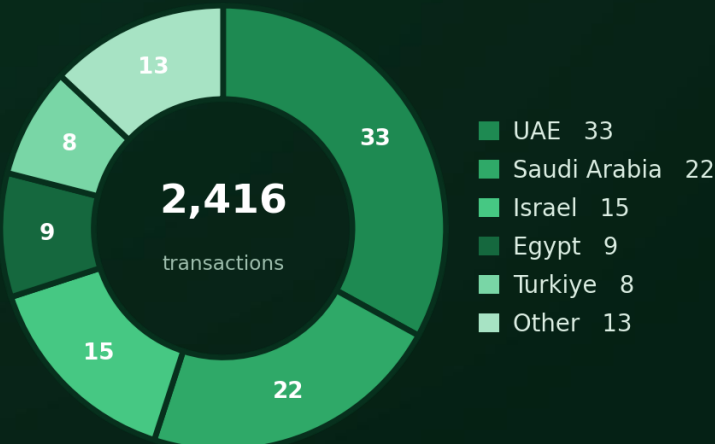
MENA Transaction Dataset Overview

FY2025: around USD 247.7 billion across 2,416 transactions, concentrated in the GCC.

By industry (share, percent)



By geography (share, percent)



USD 247.7bn

FY2025 deal value across 2,416 transactions

40 percent

Finance share of value, the largest sector

55 percent

UAE and Saudi Arabia combined share of value

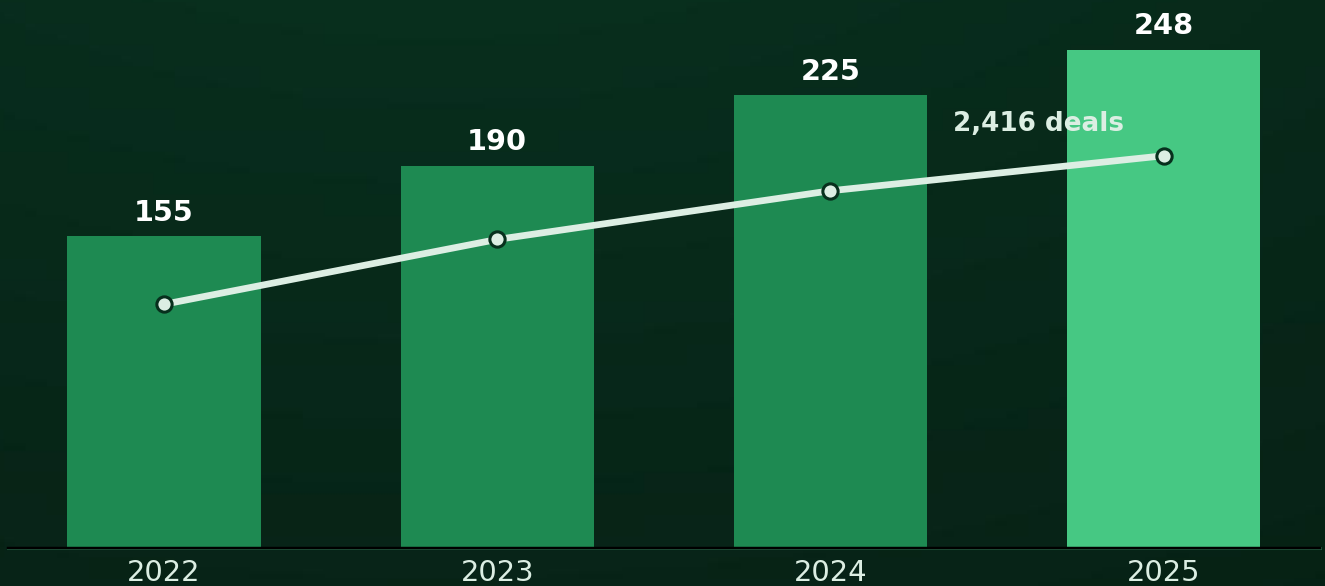
USD 5.6tn

Sovereign and state-backed capital in the region

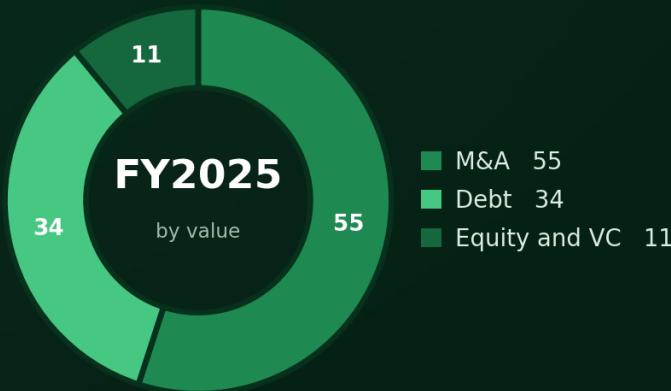
MENA Deal Trend

Value is broadening in count and concentrating in M&A and a developing debt market.

Annual deal value (USD bn), 2022 to 2025



Deal type split by value (percent)



USD 84.1bn

Debt funding, 34 percent of 2025 value

884

Record M&A deals despite the global slowdown

Up around 60 percent

FY2025 value versus 2022

2,416

Transactions across the region

Two Reads of 2026, and a Strategic Shift

The market recalibrated through the Hormuz shock, and GCC-linked capital keeps consolidating.

LINCOLN, TO APRIL 2026

USD 55.6bn

Across 314 deals, all capital types. 91 percent of value in M&A and debt. A pre-shock read.

LSEG AND PWC, H1 2026

Down 47 percent

M&A value fell to around USD 48.7 billion even as deal count held broadly flat, down about 2 percent, with the average ticket near USD 76 million. A full-half read.

STRATEGIC, NOT CYCLICAL

GCC-linked buyers lead

The GCC held above 96 percent of MENA M&A value across 2023 to 2025, using acquisitions to consolidate platforms and scale regional champions.

Both are correct: different scope and window. Lincoln counts all capital types to April, before the shock; PwC counts M&A only, through the summer. The 47 percent fall reflects smaller tickets, not fewer deals.

2025 MENA M&A by direction

Direction	Deals	Value	Read-through
Inbound	223	USD 25.4bn	More than doubled on 2024; UAE captured most inbound value.
Within MENA	405	USD 41.6bn	46 percent of volume; platforms scaled in tech and real assets.
Outbound	256	USD 39.2bn	61 percent of outbound value; the US the preferred target.

USD 106.1bn

2025 MENA M&A value across 884 deals

USD 102.1bn

GCC value, 96 percent of the MENA total

SOVEREIGN CAPITAL AND GLOBAL DEALS

Underwriting Compute, Power and AI Infrastructure

The largest cheques with Gulf capital in the stack are landing outside the region.

Transaction	Value	Status	Gulf angle
Aligned Data Centers, by AIP, MGX and BlackRock GIP	USD 40.0bn	Closed Jul 2026	Abu Dhabi's MGX in the largest digital-infrastructure deal on record, plus a USD 5bn expansion.
Electronic Arts, take-private by PIF, Silver Lake, Affinity	USD 55.0bn	Closed Aug 2026	Largest leveraged buyout ever completed; cleared CFIUS and closed in August 2026, with Saudi PIF holding the majority.
AES Corporation, take-private by GIP, EQT, QIA	USD 33.4bn	Announced	QIA backing power and AI-load infrastructure.
Anthropic, Series G	USD 30.0bn	Announced	QIA and MGX participating in frontier AI.
Stargate UAE, Abu Dhabi compute cluster	1 GW build	In build	Led by G42's Khazna; first 200 MW phase due online later in 2026.
HUMAIN, Saudi national AI company	USD 1.2bn	Progressing	PIF-backed build-out, alongside a USD 10bn PIF and Google AI hub.

USD 40bn

Record digital-infrastructure deal, closed with MGX

USD 300bn+

Sovereign-related participation in 2026 global deals

USD 15.2bn

Mubadala H1 deployment, most active sovereign fund

Compute

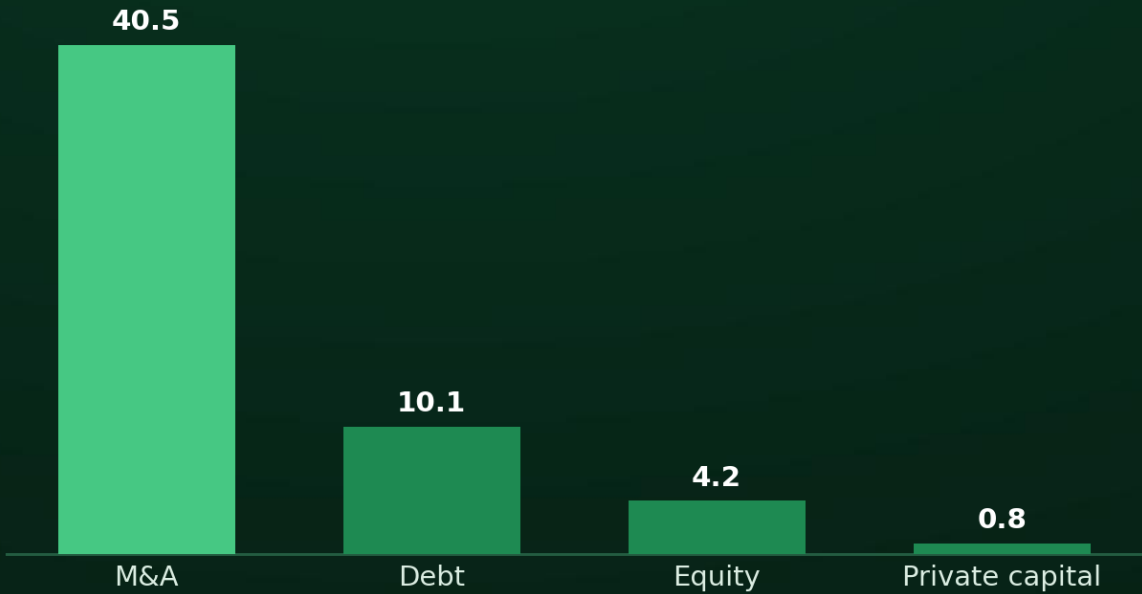
Power and cooling are the dominant strategic lane

2026 YEAR TO DATE

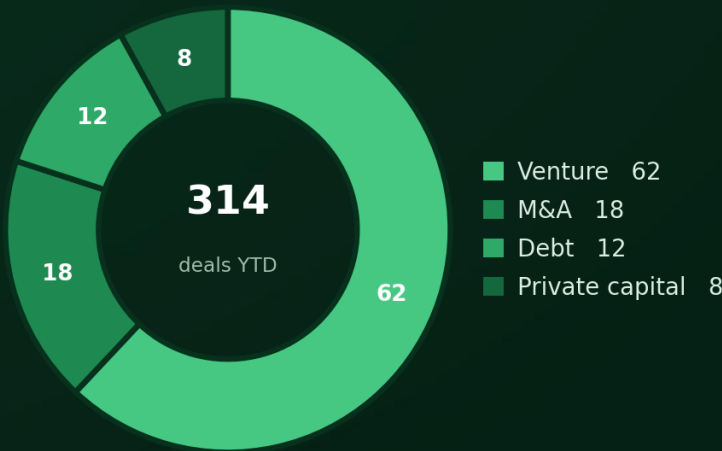
Volume Is Venture Led, Value Is Not

Year-to-date volume is driven by venture, but 91 percent of value sits in M&A and debt.

Value by type (USD bn)



Volume by type (deals, share percent)



314 deals

Tracked YTD activity across debt, equity, M&A, private capital

USD 55.6bn

Tracked disclosed transaction value

USD 718m

Average M&A ticket, a larger-ticket control-deal read

91 percent

Of value in M&A and debt, the larger-ticket channels

The read: venture drives the deal count but not the dollars, 134 rounds for USD 2.7 billion against USD 28.7 billion of M&A. Disclosed capital is concentrating in fewer, larger control and debt transactions, so headline deal counts overstate how open the market is to smaller raises. Source: Lincoln Analysis, S&P Capital IQ. YTD is activity to April 2026.

2026 YEAR TO DATE

Top Sovereign-Linked Transactions

The 2026 pipeline shows a clear tilt to compute, power and data-centre infrastructure.

#	Deal	Value or commitment	Sovereign or Middle East angle
1	Paramount Skydance and Warner Bros. Discovery	USD 110.0bn	PIF, QIA and Abu Dhabi-linked investors reportedly in the equity financing.
2	AI Infrastructure Partnership (BlackRock GIP, Microsoft, MGX, NVIDIA)	around USD 100.0bn	MGX-backed platform targeting compute, power and data centres.
3	Electronic Arts take-private (PIF, Silver Lake, Affinity)	around USD 55.0bn	PIF-backed digital IP and gaming platform; closed August 2026.
4	Aligned Data Centers (AIP, MGX, BlackRock GIP)	around USD 40.0bn	Abu Dhabi MGX in hyperscale AI infrastructure.
5	AES Corporation take-private (GIP, EQT, QIA)	around USD 33.4bn	QIA-backed power and AI-load infrastructure.
6	Anthropic Series G	around USD 30.0bn	QIA and MGX in frontier AI.
7	QIA and Goldman Sachs private-markets partnership	around USD 25.0bn	Co-investment and AI and private-markets strategy.
8	Palo Alto Networks and CyberArk	around USD 25.0bn	AI-era cybersecurity; Israel innovation ecosystem.
9	Borouge and Borealis	USD 13.4bn	AI data-centre cooling infrastructure link.
10	Clear Channel Outdoor take-private	around USD 6.2bn	Outdoor media and infrastructure platform.

The Routes In and Out Are Broadening

Debt is deepening, the listing window is patient, and the ceasefire is the risk to watch.

USD 116.8bn

GCC bond and sukuk issuance in H1 2026, up 14 percent

41 percent

Record sukuk share of GCC debt volumes (Fitch)

7 IPOs

Around USD 1.19bn raised across the GCC in H1 2026

Around 73

Listings in the pipeline, postponed not abandoned

- **Debt is now a primary channel**
Sukuk and bonds funded a record USD 84.1 billion in 2025, around 34 percent of value, and issuance kept growing into 2026 even as sukuk softened after the conflict.
- **The listing window is open but selective**
Issuers are disciplined on timing and price. Etihad, Masdar and Emirates Global Aluminium sit in the pipeline. We expect a selective reopening into H2 2026 if the ceasefire holds, led by government-linked and consumer issuers.
- **Private credit is taking root in the Gulf**
A regional market is forming under Abu Dhabi's ADGM framework, with funds of USD 100 to 250 million and managers such as Ruya raising up to USD 400 million.

THE RISK TO WATCH

The April ceasefire that reopened the Strait of Hormuz did not hold through July. A durable settlement is the biggest swing factor for the second half.

If conditions steady, deferred listings and paused processes return quickly, led by the strategic sectors that carried the first half.

If not, sovereign and well-capitalised regional buyers keep the market moving through consolidation while inbound capital stays cautious.

WHAT IT MEANS FOR YOU

Reading the Market by Seat

The same market, three decisions, and what to watch into the second half.

● Founders and boards

Gulf sovereign and strategic capital is the deepest pool in the market, but it comes with a view on control and national priorities. Decide early what you will give on governance, and build a business that reads as strategic.

● Chief financial officers

Financing has widened past sponsor equity. Test the debt and sukuk route, size covenant headroom against a Brent shock, and treat the exit as a range of routes rather than a single listing you cannot time.

● Investors and boards of funds

With distributions thin globally, co-investing alongside Gulf capital into infrastructure and compute is where the scale sits. Diligence governance rights and exit optionality as hard as the entry price.

OUR VIEW, THE CALL

The story of the year is capital origin, not deal location. The domestic slowdown is a recalibration, not a retreat.

Bottom line: *the Gulf is exporting capital faster than it is transacting at home. Over the next 12 to 24 months we expect sovereign and strategic capital to keep anchoring the largest deals, with the mid-market and the listing pipeline reopening selectively as conditions steady.*

WATCH LIST FOR THE SECOND HALF OF 2026

● AI and compute

Stargate UAE and HUMAIN move from build-out to a financing pipeline.

● Private credit

A Gulf market is forming under the ADGM framework.

● The listing window

Around 73 GCC IPOs ready to reopen if conditions steady.

● The ceasefire

A durable Hormuz settlement is the single biggest swing factor.



THANK YOU.

YD Advisory is a boutique transaction and strategic advisory firm built for the moments where the stakes are real and generic consulting is not enough. Institutional-grade thinking, without the institutional overhead.

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